

fairly consistent with intuition and what economists call life cycle theory of investing.

Another finding is that when no guaranteed living benefit (GLiB)—that is, extra levels of protection—was selected by the client, the level of risky equity exposure within the account tended to be lower, by about 10 to 30 percentage points, compared to the basic case. We think this is the more interesting result.

In other words, roughly half of the more than 100,000 policies purchased contained no living benefits. In those cases the amount of equity exposure tended to be much lower compared to the policies in which the riders were elected (and paid for).

Is this terribly surprising? Not really. Most advisors will readily agree that these guaranteed living benefits provide some comfort and help investors accept more risk. These numbers support this fact and provide some estimates on the magnitude of this effect.

Note that this pattern—a GLiB selected is associated with greater risk exposure—is consistent across all insurance companies we analyzed. This is not just a fluke associated with one or two companies, or a given living benefit rider, or a particular company's asset allocation restrictions.

Remember that individuals with more aggressive equity allocations essentially have a higher exposure to the stock market compared to fixed-income products, which in the long run is the winning asset class. In fact, the extra investment return that one obtains might offset the higher fees that are required to pay for this protection. Or here is a slightly offbeat way to think about this: A GLiB is a therapist that pays for itself!

Of course, psychology aside, one has to wonder: Is this extra level of risk justified in theory? For this, I believe the answer is a definite, "yes." After all, if you are granted an "equity put option," (recall that this is a type of insurance on your portfolio) how else would you behave? Stated differently, why bother protecting or insuring a portfolio (that is, asset mix) that has little chance of requiring protection in the long run? If you want to hold bonds and other fixed income products in your portfolio, don't waste valuable protection/insurance dollars and find some other silo in your personal balance to hold those low-risk instruments.